

The basic corporate tax rate was reduced to 50 per cent and the rates for different closely held companies were made uniform at 55 per cent. In 1993-94, the distinction between the closely held and the widely held companies was removed and the uniform tax rate was brought down to 40 per cent. The rate was further reduced to 35 per cent with a 10 per cent tax on distributed dividends in 1997-98. Even after these reforms, some companies continued to take advantage of the exemptions and tax deduction that were there in place for backward places, export promotion and technology development. This led to the phenomenon of “zero-tax companies” whereby imaginative arrangements were used to leverage all these tax incentives with an intent to minimise tax liabilities. To counter this trend, the Minimum Alternative Tax (MAT) was introduced in 1996-97 that required a company to pay a minimum of 30 per cent of book profits as tax.

Under the *indirect taxes*, the MODVAT credit system for excise was expanded to cover most commodities and provide a comprehensive credit system by 1996-97. The eleven rates were merged into three with a few luxury items subject to additional non-rebatable tax in 1999-2000. The three rates were merged in to a single rate and renamed as central VAT (CENVAT) in 2000-01. There remained three additional excises of 8, 16 and 24 per cent. In case of custom duties, in 1991-92 all duties on non-agriculture goods that were above 150 per cent were brought down. The ‘peak rate’ was brought down to 40 per cent in 1997-98, 30 per cent in 2002-03, 25 per cent in 2003-04, and 15 per cent in 2005-06. The number of major duty rates was also brought down from 22 in 1990-91 to 4 in 2003-04. These four rates covered almost 90 per cent of customs collected from items.

This period also saw the introduction of the service tax in 1994-95, which was subsequently expanded to cover more and more services. Given that the Indian economy was having an increasingly large service component, the service tax increasingly became a major source of revenue. Eventually, provisions were made for allowing input tax credits for both goods and services at the central indirect tax level.

In line with the tax reform plans, the share of the direct taxes in the overall revenue receipts started increasing from 1994-95. In 1995-96, about 54 per cent of revenues came from indirect taxes while around 20 per cent were from direct taxes. In 2000-01, the share of indirect taxes had gone down dramatically to around 45 per cent while the contribution from direct taxes had increased to about 26 per cent. By 2005-06, indirect taxes accounted for approximately 43 per cent while the direct taxes share was about 35 per cent (Figure 11.12)

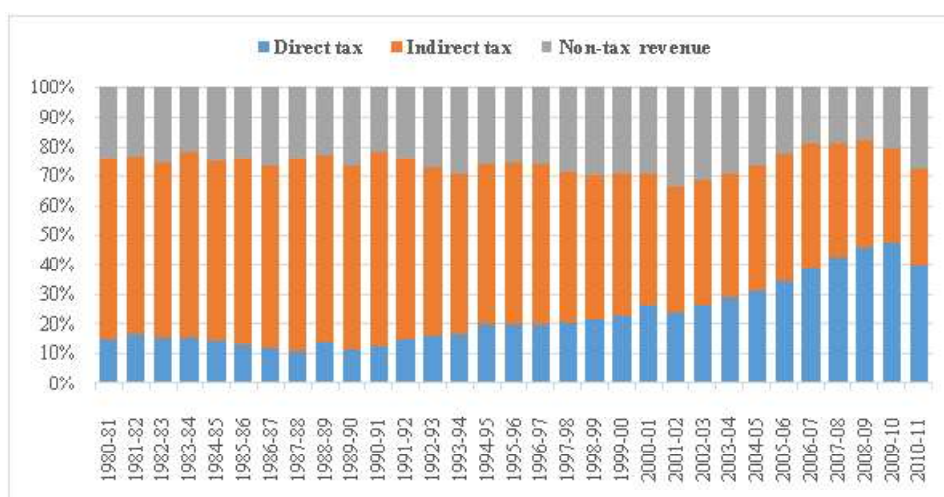


Fig. 11.12: share in the revenue receipts of the Central Govt. (in per cent)

Source: DBIE

On the *expenditure side*, the strategy was to reduce the subsidies and cutting down on non-capital expenditures. However, the existing debt burden meant that the interest component would take a long time to ebb. In 1995-96, of the central government's revenue expenditures, 9 per cent went to subsidies, 13 per cent to defence and 36 per cent to interest payments. Even after the changes in the fiscal policy, the expenditure pattern did not record much change. In 2000-01, defence and interest remained at 13 per cent and 36 per cent, respectively, while subsidies increased slightly to 10 per cent. By 2005-06, the interest component had come down to 30 per cent and defence and subsidies each took up 11 per cent (Figure 11.13).

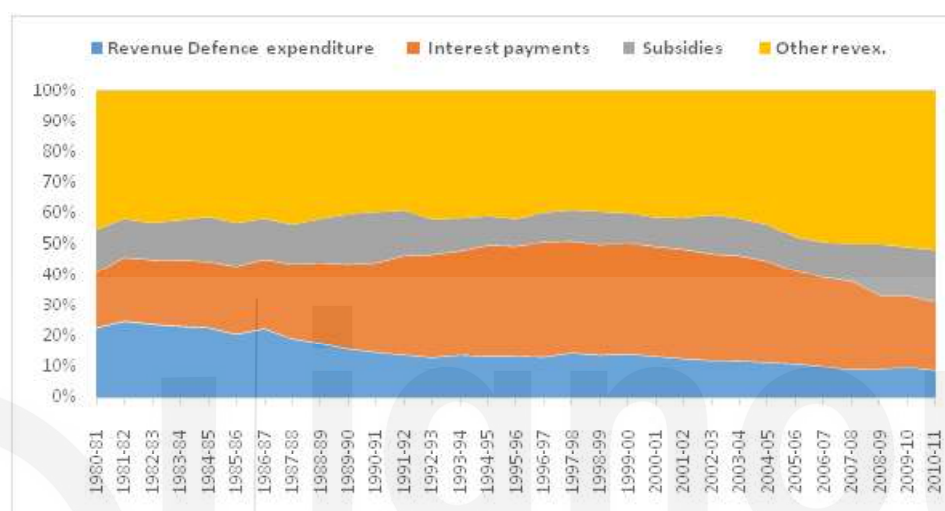


Fig. 11.13: Share in total revenue expenditure of the Central government (in per cent)

Source: DBIE

Even though the fiscal situation of the government improved with the aforementioned measures in the first half of the 1990s, the fiscals started showing signs of distress from 1997-98 with the rising fiscal and revenue deficit. The 11th FC expressed concerns over the feature of fiscal deficit being driven more and more by the revenue account.

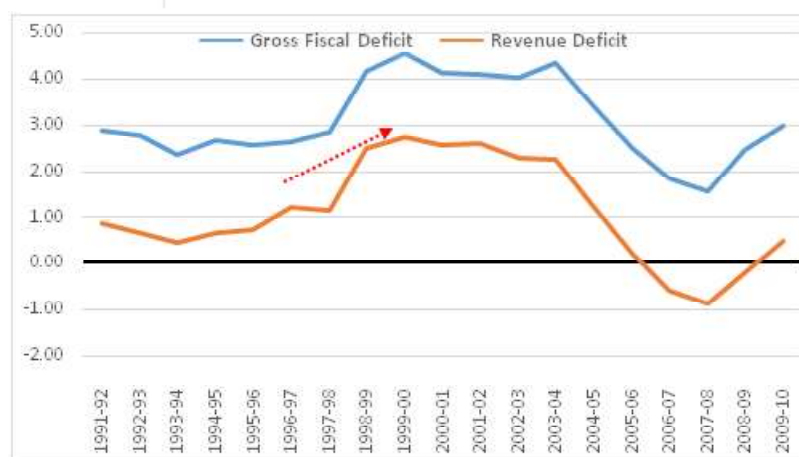


Fig. 11.14: Key fiscal indicators for States as a per cent of GDP

Source: CMIE, DBIE

The situation was grim at the state level as well. The average debt-to-GSDP ratio increased from 18.3 per cent during the 1980s to 20.8 per cent during the 1990s. It further worsened during 1997-2002 and increased by about 6 percentage points

to 26.8 per cent and reaching high of 31.8 per cent in March, 2004⁵. A study by Rajaraman et al. (2005) examined the debt sustainability of all the states in India for a period of 10 years from 1992-93 to 2002-03 using the indicator approach. They found a sharp increase in debt of major states during 1997-02 relative to the average debt level of 1992-97 with the interest rate on the state debt exceeding the nominal growth rate of GSDP during the quinquennial of 1997-02. This necessitated the need for debt consolidation measures and institutional reforms to stabilise debt at both the Centre and the State level. The central government's revenue deficit climbed up to 4.4 per cent of GDP in 2002-03 while the GFD was at 5.91 per cent of GDP. By 2003-04 the combined liabilities of the centre and the States were up at 81.09 per cent of GDP from 70.59 per cent in 2000-01. The external liabilities were however kept under control at only 1.67 per cent of GDP in 2003-04.

There was an urgent need of some new fiscal discipline framework. After around three years of discussions, the Fiscal Responsibility and Budgetary Management (FRBM) Act was adopted in 2003.

Check Your Progress 2

- 1) What are the various fiscal implications of the planning process?

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- 2) What was the focus of fiscal policy during 1970s?

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- 3) What has been the consequence of increasing deficit and debt in 1980s?

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- 4) State the major initiatives taken towards reforms in direct taxes in 1990s.

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⁵ Atri Mukherjee et.al. (2017)

11.5 THE FRBM ACT

As alluded to above, periods of macroeconomic instability in India have invariably been pre-dated by fiscal adventurism. In the 1980s, for example, the combined fiscal deficit had widened to 8.6 per cent in 1984-85 and breached 9 per cent of GDP in the ensuing years. Following the crisis, fiscal corrections were pursued along with structural reforms. A combination of these macro policies and other reforms stabilised the economy. However, later in the 1990s, combined fiscal deficits again rose sharply to over 10 per cent. This time the government willingly introduced the *Fiscal Responsibility and Budget Management Bill* in Parliament in the year 2000. The Bill received the assent of the President of India on 26 August 2003 and it became effective from 5 July 2004.

The main objectives of the act were to (a) introduce transparent fiscal management systems in the country; (b) introduce a more equitable and manageable distribution of the country's debts over the years and (c) aim for fiscal stability for India in the long run. The FRBM Act proposed that the central and state fiscal deficit would each be progressively reduced to reach 3 per cent of GDP keeping in mind two considerations – a) consistency with the forecast trend of household financial savings and b) the target being considered sufficient for reducing the stock of outstanding government liabilities to the level of 50 per cent of the GDP within 10 years⁶.

Even though the Constitution enables the adoption of fiscal rules through the prescription of a ceiling on borrowing by the Union and the States, no such legislation was passed. It was only in the FRBM Act, that the limit on the borrowings were imposed indirectly. The FRBM Act, 2003 is a law enacted under Article 292 of the Constitution (read with Article 283) empowering the government to borrow upon the security of the Consolidated Fund of India 'within such limits, if any, as may from time to time be fixed by Parliament by law and to the giving of guarantees within such limits, if any, as may be so fixed'. Article 293 stipulates restrictions on the power of State governments to borrow.

The Ministry of Finance initiated studies to analyse the international legislative practice in controlling public debt and deficits to suggest a draft 'Public Debt and Guarantee Limitation Act' for India. The draft sought the elimination of the revenue deficit within five years, a steady reduction in the fiscal deficit, capping the growth rate of the stock of liabilities at the growth rate of net tax revenue receipts, the elimination of asset-liability mismatches on a book value basis within 10 years and capping outstanding guarantees to 10 per cent of outstanding liabilities. These provisions not only capped public debt using endogenous budgetary variables (book value of physical and financial assets) but also mandated revenue generation to recoup the progressive use of borrowings for consumption resorted to in the past and the eventual use of borrowed funds for creation of productive assets.

Given the prevailing fiscal stress in the 1990s and the draft of the Public Debt and Guarantee Limitation of India, the Finance Minister constituted a committee on January 17, 2000 under the chairmanship of *Dr. E.A.S. Sarma*, then Secretary, Department of Economic Affairs, Ministry of Finance to study all cognate aspects

and prepare a draft legislation. The Committee submitted its Report on 4 July 2000. It identified three categories of indicators for numerical fiscal targets with specific time frames: (i) revenue and fiscal deficits; (ii) total liabilities/debt; and (iii) borrowing from the RBI. Eight deficit indicators were considered but for simplicity and focused attention, the Committee recommended ceilings for only two – fiscal and revenue deficits. It sought to discourage excessive deficit for accumulating capital assets by mandating a progressive reduction in the fiscal deficit by 0.33 per cent of GDP at the end of each financial year so as to reduce to the fiscal deficit to no more than 3 per cent of GDP in five years ending on 31 March 2006. The Committee also recommended the complete elimination of the revenue deficit in five years ending on 31 March 2006 through annual reductions of 0.5 per cent of GDP, and to build up an adequate revenue surplus thereafter. This would ensure the observance of the ‘golden rule’, i.e., revenue surpluses would be used for the purpose of discharging liabilities in excess of assets. In addition to limits on the deficit, the proposed legislation also limited guarantees to 0.5 per cent of GDP in any given financial year. The committee also advocated a debt-GDP ratio of 50 per cent in a period of 10 years commencing on 1 April 2001⁷.

Karnataka became the first state to enact its FRBM Act in September 2002 followed by Kerala (2003), Tamil Nadu (2003) and Punjab (2004). At the Union govt. level, the Act and the Rules made under the Act were brought into force on 5 July 2004. West Bengal and Sikkim were the last two states to implement the FRBM Act in July and September 2010, respectively.

In July, 2004, a *Task Force led by Dr Vijay L. Kelkar* recommended various measures for implementation of the FRBM Act and substantially, a path of revenue-led fiscal consolidation. The Committee also recommended the introduction of a comprehensive tax on all goods and service replacing Central level VAT and State level VATs. It recommended replacing all indirect taxes except the customs duty with value added tax on all goods and services with complete set off in all stages of making of a product. Other states also implemented the legislation to avail the benefits under the incentive scheme recommended by the 12th Finance Commission (12th FC). Some of the major recommendation of the 12th FC to restructure the public finances include:

- 1) By 2009-10, the combined tax-GDP ratio of the Centre and the States should be increased to 17.6 per cent, primary expenditure to a level of 23 per cent of GDP and capital expenditure to nearly 7 per cent of GDP.
- 2) The combined debt-GDP ratio with external debt measured at historical exchange rates should, at a minimum, be brought down to 75 per cent by the end of 2009-10.
- 3) The system of on-lending should be brought to an end over time and the long-term goal for the Centre and States for the debt-GDP ratio should be 28 per cent each.
- 4) The fiscal deficit to GDP ratio targets for the Centre and the States may be fixed at 3 per cent of GDP each.
- 5) The centre's interest payment relative to revenue receipts should reach about 28 per cent by 2009-10. In the case of States, the level of interest payments relative to revenue receipts should fall to about 15 per cent by 2009-10.

⁷ NK Singh Committee Report

- 6) The revenue deficit relative to GDP for the Centre and the States, for their combined as well as individual accounts should be brought down to zero by 2008-09.
- 7) *Each State should enact a fiscal responsibility legislation*, which should, at a minimum, provide for
- eliminating revenue deficit by 2008-09;
 - reducing fiscal deficit to 3 per cent of GSDP or its equivalent, defined as the ratio of interest payment to revenue receipts;
 - bringing out annual reduction targets of revenue and fiscal deficits;
 - bringing out annual Statement giving prospects for the State economy and related fiscal strategy; and
 - bringing out special Statements along with the budget giving in detail the number of employees in Government, public sector, and aided institutions and related salaries.

Other measures to expand the tax base and increase revenues were the introduction of the securities transaction tax (STT) in 2004 and the fringe benefit tax (FBT) in the budget of 2005-06 (Rao and Rao, 2006).

The fiscal deficit for the Central government apparently declined from 4.34 per cent in 2003-04 to 2.54 per cent in 2007-08, achieving the target of 3 per cent of GDP one year in advance and the revenue deficit also apparently came down from 3.5 per cent of GDP in 2003-04 to 1.1 per cent of GDP in 2007-08, and closer to the target of nil in 2008-09. Though several studies have attributed this fiscal consolidation in the first phase of the FRBMA to high GDP growth and tax buoyancy. Simone and Topalova (2009) estimate that two-thirds of the fiscal adjustment in this period was due to revenue gains. Study by Dholakia et al. (2011) pointed out that much of the improvement in the financial position of the Central government arose due to revenue buoyancy.



Fig.11.15: Fiscal and revenue deficit for the Centre as a percentage of GDP

Source: DBIE

The basis of these claims lay in unprecedented nominal growth in GDP. The nominal year-on-year growth rate of both direct and indirect central taxes (net of transfers to States) increased consistently from 2001-02 onwards. These dynamics

translated into a considerable rise in the net central tax/GDP ratio, particularly the net central direct tax/GDP ratio, which more than doubled between 2001-02 and 2007-08. Inflation was moderate and growth was buoyant at 9.6 per cent in 2006-07. This benign macroeconomic environment was disturbed by the global financial crisis.

11.6 THE GLOBAL FINANCIAL CRISIS AND FISCAL POLICY

The global financial crisis that erupted around September 2008 saw Indian fiscal policy being tested to its limits. The policymakers had to grapple with the impact of the crisis that was affecting the Indian economy through three channels: (i) contagion risks to the financial sector, (ii) the negative impact on exports and (iii) the effect on exchange rates. One could also add to this list the dampening of domestic business sentiments as a result of the deterioration in the economic prospects in developed countries in the wake of the global financial crisis. Somewhat serendipitously, the government already had an expansionary fiscal stance in view of a rural farm loan waiver scheme, the expansion of social security schemes under the National Rural Employment Guarantee Act (NREGA) and the implementation of revised salaries and pensions for the central public servants as per the recommendations of the Sixth Pay Commission. Furthermore, the parliamentary elections of 2008 also resulted in further increase in government expenditures.

As the crisis unfolded, the government initiated a series of stimulus packages on 7th December 2008, 2nd January 2009 and 24th February 2009. Actions included an overall central excise duty cut of 4 per cent, ramping up additional plan expenditure of about Rs. 200 billion, further state government borrowings for planned expenditure amounting to around Rs. 300 billion, interest subsidies for export finance to support certain export-oriented industries, a further 2 per cent reduction of central excise duties and service tax for export industries (in all a total of 6 per cent central excise reduction). The impact of these measures is estimated to be around 1.8 per cent of GDP in 2008-09. If the increase in public expenditure across the budgets of 2007-08 and 2008-09 is taken together it amounted to over 3 per cent of GDP.

In 2008-09, there was a reversal of the steady fiscal consolidation being pursued. The budgeted fiscal deficit for 2008-09 was 2.5 per cent of GDP, while the revised estimates shown in the interim budget presented in February 2009 was 6 per cent of GDP. However, the Centre's actual fiscal deficit in 2008-09, inclusive of the off-budget expenditures of oil and fertilizer bonds was in fact 7.8 per cent despite significant under-reporting through deferment of expenditure liabilities. Thus, the total deterioration in the fiscal deficit in 2008-09 was a dramatic 5.3 per cent of GDP. The revenue deficit also ballooned considerably in 2008-09, from the budgeted 1 per cent to the revised 4.4 per cent of GDP. Accounting for the off-budget bonds brought the number to an unprecedented 6.3 per cent of GDP (Buiter and Patel, 2010).

Unlike international best practices, neither the escape clause (first proviso to Section 4) of the FRBM Act nor the associated FRBM Rules mandate a clearly defined correction path that would facilitate a return to fiscal consolidation following a breach in adherence to the fiscal rules. The Finance Minister in his

2011-12 Budget Speech announced that amendments would be made to the FRBMA along with “laying down the fiscal map for the next five years.” In the succeeding year’s Budget Speech, the FM yet again announced that amendments to FRBMA would be introduced through the Finance Bill of 2012. The Finance Bill proposed that the new target for the reduction of GFD and RD, and elimination of effective revenue deficit be set as March 31, 2015. These proposals resulted in amendment of FRBMA in May 2013. The term ‘effective revenue deficit’ was also introduced into FRBMA through Finance Bill of 2012. The government then revised the FRBMA further in the Finance Bill of 2015 by amending Section 4 to change deadline of March 31, 2015 to March 31, 2018, to grant the newly formed Government in May 2014, some more fiscal space to achieve deficit targets.

The need for review of the FRBMA is in sync with the need for enhancing credibility, discipline, transparency and accountability in the conduct of macroeconomic policy. The 13th Finance Commission recommended that the Centre should institute a process of independent review and monitoring of the implementation of the FRBMA. Accordingly, the Act was amended in 2012 to provide for the government entrusting a periodical review of compliance with the provisions of the Act to the Comptroller and Auditor-General (CAG).

The NK Singh Committee (FRBM Review Committee): In May 2016, Government of India constituted a five-member committee to review the working and functioning of FRBMA. On January 23, 2017, the committee submitted a report to the Finance Minister. Its main policy recommendations are summarised below:

- 1) Adopt a prudent medium-term ceiling for general government debt of 60 per cent of GDP, to be achieved by the fiscal year 2022-23.
- 2) Within the overall ceiling specified above, adopt a ceiling of 40 per cent for the centre, and the balance 20 per cent for the states.
- 3) Adopt fiscal deficit as the key operational target consistent with achieving the medium-term debt ceiling.
- 4) A path of fiscal deficit with fixed operational targets rather than a range.

Table 11.1: The recommended debt-deficit paths by the FRBM review committee

	Debt-GDP ratio (per cent)	Fiscal Deficit (per cent of GDP)	Revenue Deficit (per cent of GDP)
2016-17	49.4	3.5	2.30
2017-18	47.3	3.0	2.05
2018-19	45.5	3.0	1.80
2019-20	43.7	3.0	1.55
2020-21	42.0	2.8	1.30
2021-22	40.3	2.6	1.05
2022-23	38.7	2.5	0.80

Source: NK Singh Committee Report, 2017

- 5) A path of fiscal deficit to GDP ratio of 3.0 per cent during 2017-18 and 2019-20, 2.8 per cent in 2020-21, 2.6 per cent in 2021-22, and 2.5 per cent in 2022-23.
- 6) Reduce revenue deficit to GDP ratio steadily by roughly 0.25 percentage points each year, to reach 0.8 per cent by 2022-23.
- 7) The Inter-State allocation for State Governments for the achievement of the overall debt and fiscal targets be assigned to the 15th FC through a specific Terms of reference (ToR).

The timeline of FRBM Act and relevant developments are present in the table below:

Table 11.2: Timeline of the FRBMA and relevant developments

Month, Year	Event
Jan, 2000	Sarma Committee on Fiscal Responsibility Legislation constituted by Finance Minister
Dec, 2000	FRBM Bill tabled in Parliament
Aug, 2002	Karnataka FRBM Act enacted by State Government
Aug, 2003	FRBM Act receives assent of President
July, 2004	FRBM Rules were notified by government under FRBMA and were brought into force. Task Force (Chairman: Dr Vijay Kelkar) on implementation of FRBMA set up
March, 2006	Date recommended for revenue deficit elimination and reduction of fiscal deficit to 3 per cent by Sarma Committee
March, 2008	First target date by which revenue deficit had to be eliminated and fiscal deficit reduced to 2 per cent of GDP (set by FRBMA)
Sep, 2008	Lehman Brothers files for bankruptcy, Global Financial Crisis
March, 2009	First target date by which revenue deficit had to be eliminated and fiscal deficit reduced to 3 per cent of GDP (set by FRBM Rules)
July, 2009	FRBM targets suspended and Act put on hold till negative effects of Global Financial Crisis are overcome
Feb, 2011	Revised fiscal road map for 5 succeeding years and amendments to FRBMA
May, 2013	Amendments to FRBM Rules
March, 2015	Fiscal and revenue deficit target set in Budget Speech of 2011-12; Fiscal target date set for elimination of revenue deficit (set by FRBM Rules 2013)
May, 2015	FRBM target of March 31, 2015 revised to March 31, 2018
June, 2015	Amendments to FRBM Act
May, 2016	FRBM Review Committee headed by N.K. Singh constituted
Jan, 2017	FRBM Review Committee submits its Report
March, 2017	Fiscal target date by which gross fiscal deficit to be reduced to 3 per cent of GDP (set by FRBM Rules 2013)
April, 2017	FRBM Review Committee Report released to public
March, 2018	First target date by which revenue deficit has to be reduced to 2 per cent and fiscal deficit to 3 per cent of GDP (set by FRBMA 2015)

Source: Charan Singh et. al.